

3. The difference between a traditional and a Roth account is when you will be taxed. With a traditional account, you invest the money before taxes are taken out; when you withdraw the money in retirement, however, you need to pay taxes on it. With a Roth, the opposite occurs. You pay taxes on it before you invest it, and you can withdraw the money tax-free when you retire.
4. The earlier you can get started saving, the earlier you can take advantage of compound interest.

Build Your Skills: Insurance

1. A premium is the monthly payment you make to have an insurance policy; a deductible is the amount you need to pay for covered services before your insurance kicks in.
2. A copay is a flat fee you need to pay each time you receive medical services, usually between \$15 and \$50. Coinsurance is the percentage of the bill you are required to pay for medical services.
3. Getting in an accident, getting a speeding ticket, having an expensive vehicle, being young, and being a young male.
4. \$1,225. You need to pay the \$1,000 deductible, the \$25 copay, and the \$200 monthly premium.

Build Your Skills: The Big Purchases

1. They may act extra nice and personable, try to get you to commit as soon as possible, say they are going out on a limb for you, or highlight the low monthly payments.